

agreed to sell Buffett three million shares of Capital Cities/ABC for \$172.50 per share. But we know that price and value are often two different figures. Buffett's practice, we have learned, is to acquire a company only when there is a significant margin of safety between the company's intrinsic value and its purchase price. However, with the purchase of Capital Cities/ABC, he admittedly compromised this principle.

If we discount Buffett's offer of \$172.50 per share by 10 percent (the approximate yield of the 30-year U.S. government bond in 1985) and multiply this value by 16 million shares (Cap Cities had 13 million shares outstanding plus three million issued to Buffett), the present value of this business would need to have earnings power of \$276 million. Capital Cities' 1984 earnings net after depreciation and capital expenditures were \$122 million, and ABC's net income after depreciation and capital expenditures was \$320 million, making the combined earnings power \$442 million. But the combined company would have substantial debt: the approximately \$2.1 billion that Murphy had to borrow would cost the company \$220 million a year in interest. So the net earnings of the combined company were approximately \$200 million.

There were additional considerations. Murphy's reputation for improving the cash flow of purchased businesses simply by reducing expenses was legendary. Capital Cities' operating margins were 28 percent, whereas ABC's were 11 percent. If Murphy could improve the operating margins of the ABC properties by one-third, to 15 percent, the company would throw off an additional \$125 million each year, and the combined earnings power would equal \$225 million annually. The per-share present value of a company earning \$325 million with 16 million shares outstanding discounted at 10 percent was \$203 per share—a 15 percent margin of safety over Buffett's \$172.50 purchase price. "I doubt if Ben's up there applauding me on this one," Buffett quipped, in reference to Ben Graham.¹⁵

The margin of safety that Buffett accepted could be expanded if we make certain assumptions. Buffett says that conventional wisdom during this period argued that newspapers, magazines, or television stations would be able to increase earnings forever at 6 percent annually—without the need for additional capital.¹⁶ The reasoning, he explains, was that capital expenditures would equal depreciation rates and the need for working